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Michaels Craft Stores: Integrated Channel Management and Vendor-Retailer Relations

Michaels Stores Inc. was the largest retail arts and crafts store chain in the United States. As it grew throughout the 1990s, management began to realize that continued successful growth depended not only on its own good management of the stores, but also on the ability of its vendors to grow along with Michaels. Consumers expected to visit a Michaels store and find the specific product they wanted—e.g., extra thin, lime green (not forest green), nylon (not cotton) ribbon—in stock that day. In-stock availability also increased impulse sales. But consumer satisfaction was possible only if both Michaels vendors and the store chain could guarantee that product would be ordered when stock levels fell to the reorder point and if vendors responded appropriately through their shipping, labeling, and packaging activities.

In 1998 there were 496 Michaels stores, and the company planned on growing to more than 1,000 stores in the next five years. In light of these ambitious expansion plans, Michaels conducted a survey of its vendors that year. To the dismay of management, the survey showed that only 50 percent of vendors said that they intended to grow at the same pace as Michaels (and this was a possible overstatement, since some respondents were likely to answer in a way they felt would please Michaels). Even in 1998, many Michaels vendors were unable to keep up with ordering patterns from the stores already in existence. They seemed to act more as order-takers than as suppliers willing to invest in the success of the total channel. Faced with the prospect that half or more of their vendors might struggle to ship sufficient quantities of product in a sufficiently timely manner into the Michaels retail system, management realized that its own plans for growth required the education and cooperation of upstream supply chain partners.

Michaels management was aware that other “power retailers,” like Wal-Mart, Home Depot, and Lowe’s, had put into place various programs and rules to force their vendors to ship to them in the right quantities, with the right assortment, packaged in particular ways, and at specific times. Vendors that did not comply simply could not sell to these retailers. Michaels realized that its business and channel were somewhat different from those at these retailers. For one thing, the average Michaels vendor was much smaller than the average Wal-Mart, Home Depot, or Lowe’s vendor. Many vendors’ operations were not computerized. And the crafts business was inherently “artsy,” leading to enormous creativity in product ideas and designs, but not to a focus on logistics efficiency or cost management on the part of many vendors. Members of the vendor community were simply not aware of the benefits to them of increasing the efficiency and effectiveness of their supply chain to complement their marketing and sales efforts. Michaels management therefore realized that it needed a different approach; simply dictating to vendors would not produce the desired results.

Company Background and Distribution Channel

Michaels was clearly the dominant player in the arts and crafts industry, with an annual average store volume of \$3.5 million and net sales of \$2.53 billion in fiscal 2001. **Exhibit 1** shows financial highlights for 1997–2001. Michaels bought from over 1,000 suppliers and sold an average of 40,000 stock-keeping units (SKUs) in each store (in contrast to the average 30,000 SKUs found in a typical U.S. supermarket). Many of its vendors were quite small and unsophisticated in the management of inventory, billing, and shipping. The average total purchase at a Michaels store was less than \$19, and the average single item sold was priced at under \$3. **Exhibit 2** shows a typical store shelf, with a multitude of different SKUs, each of which needed to be individually restocked and managed. Given these economic constraints, the cost-effective management and processing of vendor shipments was clearly crucial to company success.

Vendors or their distributors typically shipped product to one of Michaels' five large distribution centers, with the largest located in Lancaster, California. The remaining four were strategically placed throughout the United States in Ft. Worth, Texas; Lexington, Kentucky; Jacksonville, Florida; and Hazleton, Pennsylvania. They serviced Michaels' 759 stores (as of November 7, 2002) in the United States and Canada. Michaels had ambitious plans to increase to 1,000 stores by 2006.

When product arrived at these distribution centers, it was unloaded off a truck, checked for a match between what was ordered and what was delivered, and (assuming no errors) stored on warehouse shelves for subsequent picking and packing for store delivery. Some orders that were placed directly by individual stores were sent by vendors directly to those stores, bypassing the warehouses. Fifty-seven percent of Michaels stores' merchandise was shipped through the Michaels distribution system, with the remainder shipped directly from vendors. Once in the stores, product had to be unpacked, checked for shipment accuracy, stocked on store shelves, and eventually scanned when sold to record sales data on Michaels' point of sale (POS) computer checkout system. The POS system automatically sent information to Michaels' headquarters about exactly what and how much of each SKU had been sold.

Considering the lime green ribbon example above, the benefits of an integrated supply chain system to Michaels were clear. Michaels could wait until the lime green ribbon bin was empty to reorder, but this begged the question of what a customer would do during the time it took for the vendor to ship the product to Michaels and then for Michaels to place the product on the right shelf. Perhaps the customer would wait until Michaels restocked its shelves, but more likely he or she would decide to shop elsewhere or simply not buy the product at all. To minimize customer dissatisfaction and lost sales, Michaels had to maintain a routine product flow from its vendors. In the past, restocking catastrophes had been all too common. Mismarked boxes, incomplete labels, and poor packaging often prevented smooth and consistent restocking, leading to unhappy customers and lost revenue. Interestingly, these restocking mishaps harmed not only Michaels, but also its vendors, whose reorder frequency, overall sales levels, and time to receipt of payment from Michaels all suffered when product spent too much time in the supply chain rather than on store shelves. However, vendors generally did not recognize the causes of these adverse effects, and therefore did not have an adequate incentive to support timely replenishment, shipping, and standard labeling practices. This lack of vendor awareness led to many problems by the mid-to-late 1990s.

Distribution Inefficiencies

One type of shipping problem concerned the assortment of products that were shipped to a Michaels warehouse. For example, Michaels sold large quantities of pipe cleaners. When the supply of red pipe cleaners reached the reorder point at a Michaels warehouse, Michaels quickly placed an order to its pipe cleaner vendor (each color of pipe cleaner was a separate SKU). However, from the vendor's point of view, a certain amount had to be ordered to justify the shipping and handling costs. The vendor therefore might specify a minimum reorder quantity of 500 packages of pipe cleaners (one color per package, 100 pipe cleaners per package). If Michaels needed only 100 packages of red pipe cleaners, it might fulfill the minimum order of 500 with other colors, perhaps 100 each of blue, yellow, green, and purple. When the shipment arrived on the Michaels warehouse loading dock, employees might open it to find 500 assorted pipe cleaner packages loose inside the box. What would have taken 30 minutes to unload had the packages been bundled by color instead would take over an hour and twice the personnel to place each pipe cleaner pack in the appropriate color bundle. Unfortunately, this time-consuming process delayed the red pipe cleaners' reaching the shelf, leaving customers, suppliers, and Michaels dissatisfied.

Improperly marked packages were also a common problem for Michaels. Too often boxes would arrive with a description of what was in the box but no information on who had sent it. Boxes might carry a label that did not match the contents. Illegible or incomplete labels were also common (see **Exhibit 3** for an example). These package-labeling problems slowed Michaels' recording received inventory and moving it onto warehouse shelves. Until product was stored on the shelves of the warehouse, it could not be picked and packed for store delivery and retail sale, thus lengthening the sales cycle.

Combining orders was another common complication. As with the pipe cleaners, in order to benefit from economies of scale, a vendor would sometimes combine separate Michaels orders into one shipment. Before improvements were made in the process, invoices matched actual shipments only 50 percent of the time. For example, Michaels might place two separate orders to a vendor: one for 100 porcelain dog statues and one for 100 porcelain cat statues. If the vendor shipped them in one shipment with one order list, not identifying them as filling two separate orders, Michaels warehouse personnel would initially assume that a shipping error had occurred. As a result, they would have no choice but to put the inventory aside until the issue could be resolved, a process that could take days or weeks.

Finally, vendors did not always package their shipments appropriately for transit or for in-store display. Michaels recorded instances in which sheet glass for tabletops arrived shattered or boxes were smashed in shipping, breaking or spilling their contents. Improper packing and broken merchandise meant no payment to the vendor and no merchandise for Michaels to send to stores. Some items were shipped with no inner-pack packaging. While this was not a problem during shipment, it meant in-store display of unpackaged product. This frequently led to dirty and shopworn product in the stores. Examples of poor external and nonexistent inner-pack packaging are shown in **Exhibit 4**.

Each of these problems—failure to bundle items in a package by SKU, improperly marked packages, combined orders, and poor packing—caused confusion and wasted time, effectively increasing supply chain costs in the channel system.

As mentioned above, Michaels was not the only channel member affected adversely by inefficient supply chain management. In each of the instances described above, payment to the vendor was delayed or suspended. If Michaels received a box of paintbrushes but did not know who sent them, it could not issue a check to the supplier. Likewise, if it returned a product to the vendor, it could not pay for those items. Even in the case of shipments that eventually arrived on store shelves (such as the pipe cleaners), the extra time it took to get the items to the retail store shelf meant higher financing and inventory holding costs to the vendor and to Michaels. Also, extra costs were incurred for all supply chain partners to resolve an issue that stopped freight from flowing efficiently through the supply chain. Michaels' management recognized these costs to the vendor, but the vendors themselves were not aware of them.

Michaels' Response: A Plan for Joint Investment to Reduce Channel Costs

Michaels recognized that to ensure a smooth merchandise flow, it would need to initiate a collaborative effort with its vendors to improve shipping transactions. In its first effort to convey this to its vendors, Michaels compiled a "How to Do Business with Michaels" Vendor Requirements Manual in August 2000 outlining expected standards and regulations (**Exhibit 5** contains a brief Table of Contents for the manual). The manual was very specific, outlining every detail of the shipping process, from pre-shipment preparation to packaging labels to automatic replenishment. Michaels was determined to standardize and improve its supply chain activities. Unfortunately, it discovered that vendors did not read the manual and internalize its lessons for at least two reasons: first, its very length deterred all but the most determined readers; and second, the information in the manual had to be mastered by people with many job functions inside the vendor organization, from packaging to billing to information systems management personnel. Sending one large manual to one vendor employee simply did not disseminate the message to the relevant audience.

As part of its overall channel management process, Michaels also made a multimillion dollar investment in a new organization, Supply Chain Vendor Relations. This group was a management team devoted to preventing problems that stopped freight from flowing efficiently through the supply chain. The group reported directly to the Head of Strategic Planning, Office of the CEO, and was not affiliated with any specific department inside the company. This allowed team members to work cross-functionally inside the Michaels organization to make sure that problems were solved even if they were internal problems. They acted as a conduit to the rest of the Michaels organization to solve existing problems and prevent future problems. Michaels gave its vendors contact information for managers at all levels and departments of the organization so they could directly contact the right person to solve any problem they encountered in fulfilling orders. These organizational initiatives sent a message to Michaels' corporate staff that they had to act as a team and communicate and partner with vendors in a way that best benefited the overall organization.

The Supply Chain Vendor Relations team was developed with one main objective: to inform, educate, and interact with the entire vendor community to prevent problems that kept merchandise from flowing efficiently throughout the entire supply chain. This team had three main areas of focus to reach this objective.

1. *Issue Resolution.* If product was stopped because of a flow issue, this area of the team was responsible for resolving the issue and getting the freight moving again. Before the team was put in place, resolution of an issue could take 45 to 60 days. Two years after the team was created, only five days were required to resolve issues.
2. *Business-to-Business Communication.* The area of focus was twofold. First, Michaels needed all its vendors to be EDI (Electronic Data Interchange) compliant, sending purchase orders and invoices electronically. Second, Michaels developed a vendor Internet portal that it used to communicate important information to its vendors. This site held information like the vendor manual, labeling requirements, and NAFTA requirements. In the future, Michaels planned to give the vendors operational information, such as sales and inventory reports, to help the vendors manage the supply chain even more efficiently.
3. *Vendor Education.* This area of the team focused on educating the vendor on how to do business with Michaels.

As part of the vendor education challenge, Michaels recognized that it needed to take its effort one step further. In addition to establishing *what* it expected from the vendors, Michaels decided to teach them *why* it was requesting such things. In addition, Michaels reevaluated its business requirements to ensure that they were standard industry practices and would not add major costs to the supply chain. Michaels hoped that vendors that understood the benefits they would reap from these practices would be motivated to comply with Michaels' wishes. Rather than simply handing out a very intimidating manual and expecting the vendors to read it and comprehend the benefits, Michaels invited its vendors to come to corporate headquarters in Irving, Texas (a suburb of Dallas), for free one-and-a-half-day classes, warehouse tours, and face-to-face discussions. The classes, called Merchandise Flow Training Seminars, began in February 2001 and focused on both the general benefits of supply chain integration from the original merchandise idea stage to the payment stage and the impact of compliance with each step in the supply chain on the next step. An extensive focus on detail was very useful because many smaller suppliers on which Michaels relied lacked the expertise to comply with integrated supply technology requirements. While the classes began as optional offerings to vendors, they soon became a requirement of being a supplier to Michaels. See **Exhibit 6** for an agenda of a typical Merchandise Flow Training Seminar.

Part of the class involved a tour of Michaels' Ft. Worth, Texas, distribution center. The Supply Chain Vendor Relations team showed participants actual poorly packed or mislabeled shipments, often from the companies of participants attending that class. The team noted that such demonstrations of problems had an enormous impact on participants, sometimes triggering an immediate call back to the vendors' home office with a demand to fix the faulty practice.

The Supply Chain Vendor Relations team also took the opportunity to set up individual meetings with class participants whose companies posed particular problems that had persisted despite continued efforts to fix them. These one-on-one meetings were often much more productive and constructive than a series of angry or threatening memos would have been, and helped foster a collaborative approach between Michaels and its vendors.

The solutions were often simple. Michaels designed standard labeling formats requiring detailed information on package contents as well as the shipper's identity and the store to which the product was to be shipped. See **Exhibit 7** for an example of a proper label for shipment to a Michaels distribution center (analogous label forms were specified for shipments direct to stores

and for pallet shipments). Packaging was made more convenient for on-site unpacking. For example, buttons were no longer shipped in lump sums of 500 per box, but reorganized into ready-to-hang strips of ten pouches containing 20 buttons each. Individual items were each labeled with their specific SKU, allowing store employees to restock items by SKU, rather than hunt for the right spot on the shelf for the item. This was of great value when restocking very small, low-priced items such as sequins, ribbon, bows, and other small fabric decorations. See **Exhibit 8** for an in-store display of such items.

One vendor of poster board had previously shipped product unsorted in refrigerator boxes. Sorting one such shipment took eight hours. When this vendor began to presort its shipments, processing time in the warehouse was vastly reduced (see **Exhibit 9** for a view of the presorted product). Seasonal items were stamped with a symbol on the outside of the box easily identifying when the box should be opened and the products put onto the floor. These seasonal labels were broadly used because of the seasonality of Michaels' business overall; for example, the Christmas selling season accounted for approximately 36 percent of sales and approximately 62 percent of the firm's operating income. **Exhibit 10** shows the colored seasonal symbols used in the Michaels shipping system and their placement.

Vendor Reaction: A Move Toward Channel Coordination

Many vendors reacted positively to these changes. They felt that Michaels had helped make their operations more efficient in dealings not only with Michaels, but with all other retailers to whom they sold. They found this an unusual behavior on the part of a retail customer, and appreciated having access to Michaels people other than the buyer with whom they usually dealt. Furthermore, vendors came away from Michaels seminars convinced of the benefits to themselves, not just to Michaels, of improving their order processing, packaging, shipping, and billing practices. As a result, vendors started to view Michaels as a partner, rather than just as a customer.

After all of this investment and training, Michaels was beginning to see some positive results from its efforts. However, there were still some vendors who needed to be persuaded to attend the seminars and struggled to send their shipments correctly. Management was convinced that its policies had greatly improved the smooth flow of merchandise to its stores. Products were now more likely to arrive on time, clearly marked and ready to go directly to the shelves. The vendors appreciated being brought into the discussion and had grown accustomed to on-time, in-full payments from Michaels. Increased communication at multiple levels of the vendor organization and Michaels had greatly improved vendor-retailer relations in the channel. Vendors benefited from the information Michaels shared with them and could better supply other customers with the same ideas. The route Michaels chose was time-consuming, requiring time to educate its vendors rather than simply informing them of what was required. But at the end of the day, Michaels did not seem so much like a coercive "800-pound gorilla," and labeling the package correctly made a whole lot of sense.

Exhibit 1: Selected Financial Highlights, Michaels, 1997–2001

	2001	2000	1999	1998	1997
Net Sales	\$2,530,727	\$2,249,440	\$1,882,522	\$1,573,965	\$1,456,524
Operating Income	\$179,716	\$148,417	\$122,672	\$89,112	\$68,942
Net Income	\$89,030	\$78,589	\$62,301	\$43,601	\$30,077
Average Net Sales per Michaels Store	\$3,668	\$3,558	\$3,341	\$3,143	\$3,181
Comparable Store Sales Increase	5%	5%	7%	1%	6%
Total Selling Square Footage	13,405	12,063	10,411	8,981	8,082
Michaels Stores Open at End of Year	695	628	559	496	452

Source: Annual Reports

Exhibit 2: Typical Store Shelf in a Michaels Crafts Store

Exhibit 3: Package Labeling Problem

Exhibit 4 (continued)

Poorly packed import shipment



Poorly packed domestic shipment



Exhibit 4 (continued)

Poor packaging for in-store display

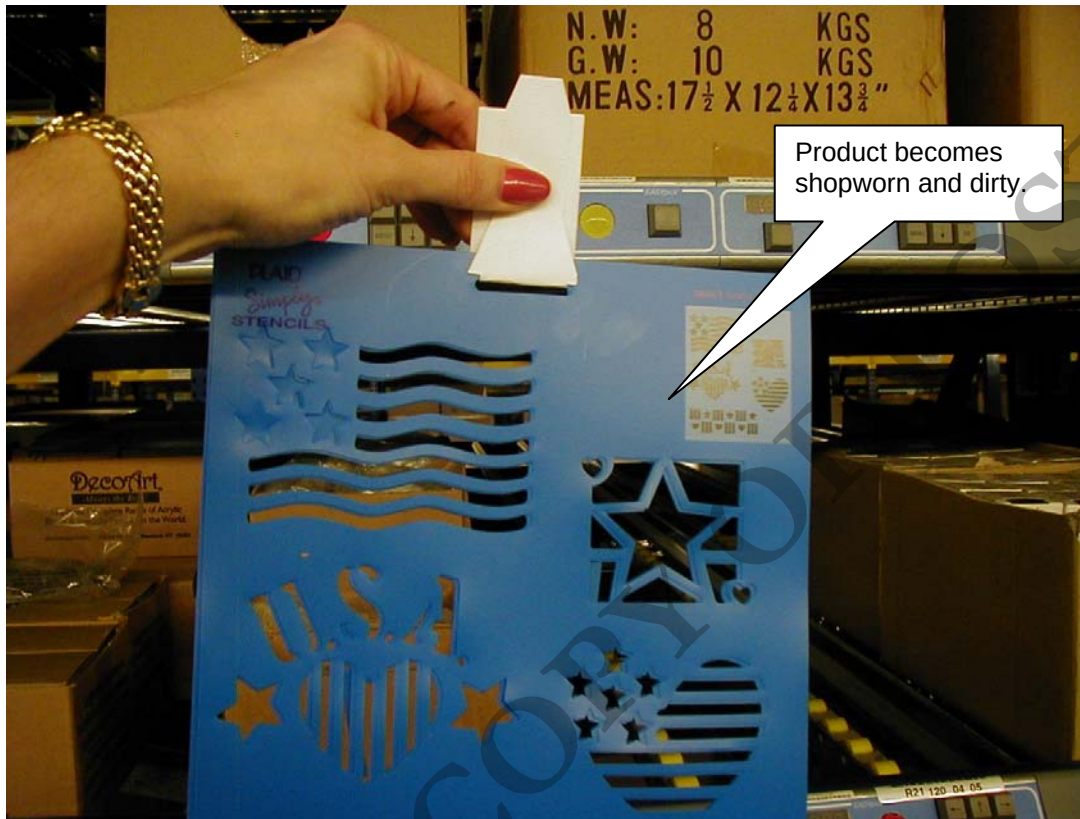


Exhibit 5: Abbreviated Table of Contents, Michaels Vendor Requirements Manual**HOW TO USE THE VENDOR REQUIREMENTS MANUAL**

As you review this material, keep in mind how it affects your organization and who in your organization will be responsible for meeting Michaels requirements. We have identified the functional areas that are affected by each chapter to assist you in distribution and implementation of the material. Of course, we recognize that not all organizations will mirror these functional areas, but we hope you can use this as a beginning.

Chapter	Title	Vendor Impacts
1	Purposes of the Vendor Requirements Manual	Key Account Manager
2	New Vendor Set-Up	Sales Management Key Account Manager Accounting Customer Service Legal
3	Product Set-Up, Maintenance, and Purchase Orders	Key Account Manager Customer Service Accounting
4	Merchandise Presentation and Marketing	Key Account Manager Marketing
5	Partnering with the Michaels Stores	Key Account Manager Shipping Traffic
6	Pre-Shipment Requirements	Key Account Manager Shipping
7	Domestic Transportation	Traffic
8	Import Transportation	Import Traffic
9	Servicing Our Canadian Stores	Shipping Traffic Marketing
10	Accounts Payable and Finance	Key Account Manager Accounting
11	Electronic Commerce at Michaels	Information Services
12	Supply Chain Scorecard	Sales Management Key Account Manager
13	Glossary of Terms	As Needed

Exhibit 6: Merchandise Flow Training Seminar Agenda**Merchandise Flow Training
Planned Agenda**

Day 1: 8:30 AM—5:00 PM

Day 2: 8:30 AM—12:00 PM

Day 1—Morning**Welcome and Overview**

Michaels and Vendors: Partnering to maintain dominance in the arts and crafts marketplace

Planogram

The foundation of Michaels merchandise presentation, inventory management, and product flow

Item Set-Up and Data Integrity

Item set-up, product configuration, and the importance of data integrity

Corporate POs & Allocations

How to make sure your order reaches the store on time

Pre-Shipment Preparation

How configuration, carton marking, labeling, package size, & carton integrity play a critical role in product flow

Lunch (on your own)**Day 1—Afternoon****Canada**

Special labeling and documentation requirements for Michaels of Canada

Logistics

Michaels Load Center and domestic documentation requirements

Tracking

Making sure seasonal and special event merchandise reaches its destination on time

Bus from Corporate Office to Alliance Distribution Center**Michaels Distribution Center Tour**

Distribution center processes and ways to keep your merchandise out of the “Problem Rack”

Bus from Alliance DC to Corporate Office**Day 2 – Morning****Direct-from-Store Orders**

Store ordering and replenishment process

DC Replenishment Orders

Forecasting and DC replenishment orders

Business-to-Business Communication / EDI

Reducing costs and errors using traditional and new Web-based EDI

Accounts Payable

How you can expedite payment of your invoices

New Stores

Unique requirements and timelines

Session Wrap-Up

Summary and evaluation forms

Closing Comments from a Member of Michaels Executive Board

Exhibit 7: DC Shipment Carton Labels

The following instructions were given to Michaels suppliers making shipments to the Michaels distribution center.

Any merchandise shipped directly to Michaels distribution centers must follow the guidelines listed here. The vendor must affix a label, at least 4" × 6" in size, to each carton in the shipment with the information shown below.

The diagram shows a rectangular label with the following fields and zones:

- Zone A: Ship From** (points to the 'From' field)
- From:** Cobbley Wobbley, 125 Hickory Rd, Boston, MA 12359
- Zone B: Ship To** (points to the 'To' field)
- To:** MICHAELS Distribution Center, 860 Westport Pkwy., Fort Worth, TX
- P.O.#:** 98765
- EVENT CODE:** CMAS1
- SKU:** 123456
- Description:** Glass Cup, Green
- Inner Pack = 4 Case Pack = 12**
- CARTON 3 OF 5**
- Zone D: Final Destination Code (optional).** (points to the 'SSCC' field)
- SSCC**
- DC#** (points to the 'DC#' field)
- 01** (the value in the DC# field)
- Zone E: Final Destination Text** (points to the 'DC#' field)
- Zone F: Serial Shipping Code (optional)** (points to the 'SSCC' field)

REQUIRED FIELDS for DC Carton Labels:

Zone A - Ship from: Complete name and address of vendor

Zone B - Ship to: Complete name and address of distribution center

Handling Code: "US" for the 48 contiguous US states, "AK" for Alaska, "CA" for Canada, and "PR" for Puerto Rico

Zone C - Trading Partner Data

- Purchase order number
- Event code (if applicable, found in the upper-right hand corner of the purchase order)
- SKU number
- Item description
- Quantity of each item in inner pack
- Quantity of each item in master carton
- Sequential numbering of cartons

Zone E - Final Destination DC # (in 32-point bold font)

OPTIONAL FIELDS for DC Carton Labels

Zone D - Final Destination Code

Zone F - Serial Shipping Container Code

Exhibit 8: In-Store Display of Small-Ticket Items

The Michaels store display in Exhibit 2 is relatively easy to restock, despite the many small-ticket items in it, because vendors put both the individual SKU and the planogram number on the back of each item for easy placement. A planogram number is a unique identifier that tells the store clerk in what aisle, row, and position to place the SKU.

Exhibit 9: A Vendor Success Story: Shipping Poster Board

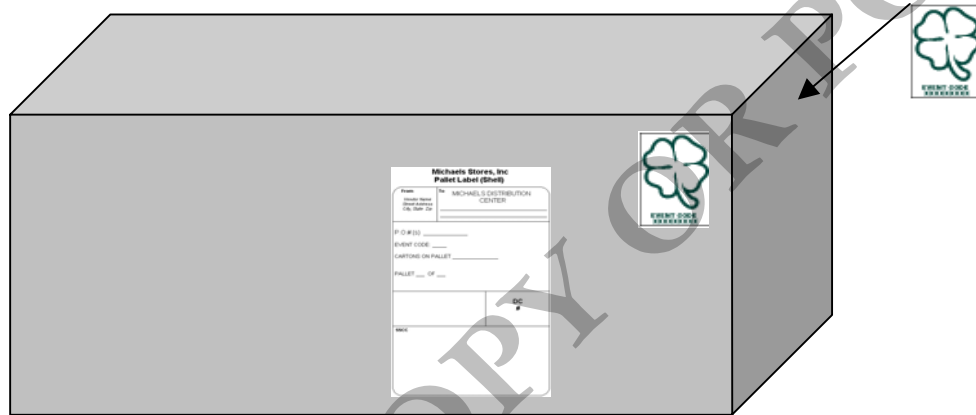
Exhibit 10: Symbols Used on Seasonal Shipments to Michaels, with Directions for Use**COLOR CODE FOR SEASONAL STICKERS/STENCILS**

PMS# 212C		EASTER
PMS# 109C		SPRING
PMS# 369C		GARDEN
PMS# Orange 021C		SUMMER
PMS# 343C		ST. PATRICK'S DAY
PMS# 072C		4TH OF JULY
PMS# 185C		VALENTINE'S DAY
PMS #4695C		FALL
PMS #347C		CHRISTMAS
PMS #151C		HALLOWEEN

Exhibit 10 (continued)

Seasonal Symbol Placement Instructions—Master Carton

Place one sticker or stencil in upper-right-hand corner on two adjacent sides. Mark one side and one end of each master carton. Sticker or stencil must be at least 4" × 6". Seasonal Symbol to use will be specified in lower-left-hand corner of purchase order in "comments" box.



Place seasonal symbol on two sides adjacent of the master case in the upper-right-hand corner.